

they had made money or broken even in 1994 so far. However, Morningstar reported that actually, 83.7% of stock and bond funds had *lost* money up to that time. Sometimes in people's minds, fantasy is stronger than reality.

Hooks

The way the market sustains rationalization is through what one pioneering technician calls "hooks." Hooks are conditions at important turning points that command investors' focus and force them to conclude that a reversal is impossible. Ten years ago, in January 1985, *The Elliott Wave Theorist* foreshadowed the psychological environment that would hook the unwary:

Cycle wave V is eventually going to lead to a gigantic crash. The market is uninterested in trying to catch a trout, as each 2-3 year advance has done for the past twenty years. It is after a really *big* fish. To catch a big fish, it is employing a big hook. That hook requires lulling most investors into a false sense of security by the time the top is made, and that, in turn, will require the bearish technical indicators, such as "lagging breadth" and the apparent problem of "too many bulls," to appear for several years to be about as worth heeding as Chicken Little. By the top, few people will be interested in listening to the "sky-is-falling" super bears, who, after all, will have been wrong for thirteen straight years. Remember, the market cannot bankrupt 90% of investors unless it first hooks them into thinking the game is easy. To that end, bullish investors, even blindly bullish investors, are going to have to be *right* for a little while longer.

This major top has hooks for all types of investors, from novice to professional. A number of hooks have been implied throughout this chapter. Let's examine a few others.

"Too Many Bears"

Would you believe that despite the statistics shown in Chapter 10, the majority of analysts and money managers contend that "there are too many bears for the market to go down"? Virtually every sentiment indicator, from valuation ratios to the cash levels held by institutions to the record public buying of mutual funds to the new issue mania to the litany of optimism spread throughout the media, reveals a headlong optimism permeating the investment establishment. Today all those indicators are derided, while bulls are focused